

Mindteck Inc. and its Subsidiary

Consolidated Financial statements

March 31, 2021 and 2020

(With Independent Auditors' Report)



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MINDTECK INC. AND ITS SUBSIDIARY
CONSOLIDATED FINANCIALS
MARCH 31, 2021 & 2020

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INDEPENDENT AUDITOR'S REPORT

The Board of Directors,
Mindteck (India) Limited

Report on the Audit of Consolidated Financial Statements**Opinion**

We have audited the accompanying consolidated financial statements of Mindteck, Inc. and its subsidiary (the Group), which comprise the consolidated balance sheet as of March 31, 2021 and the related consolidated statements of income and comprehensive income/(loss), changes in stockholders' equity, and cash flows for the years then ended, and the related notes to the consolidated financial statements including a summary of significant accounting policies.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid consolidated financial statements are prepared, in all material respects, in accordance with the basis of accounting described in Note 2 to those Consolidated Financial Statements.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the consolidated financial statements section of our report. We are independent of the Group in accordance with the ethical requirements that are relevant to our audit of the consolidated financial statements in India, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Emphasis of Matter**Basis of Accounting and Restriction on Distribution**

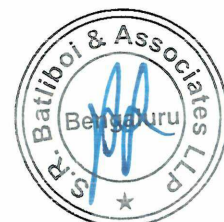
We draw attention to Note 2 to the consolidated financial statements which describes the basis of accounting. These consolidated financial statements are prepared solely for internal use of the management. As a result, these consolidated financial statements may not be suitable for another purpose. This report should not be used by, referred to or distributed for any other purpose. We do not accept or assume responsibility to anyone other than to whom this report is addressed, for our audit work, for this report, or for the opinion we have formed. Our opinion is not modified in respect of this matter.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with U.S. generally accepted accounting principles, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.



Auditor's Responsibility for the audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

For S.R. Batliboi & Associates LLP

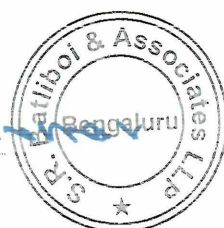
Chartered Accountants

ICAI Firm Registration Number: 101049W/E300004

UDIN: 21213803AAAADN5126


per Rajeev Kumar
Partner

Membership Number: 213803



Place: Bengaluru, India

Date: August 02, 2021

MINDTECK INC. AND ITS SUBSIDIARY
CONSOLIDATED BALANCESHEETS
(In United States Dollars)

<u>Assets</u>	<u>As of</u> <u>March 31, 2021</u>	<u>As of</u> <u>March 31, 2020</u>
<i>Current assets:</i>		
Cash and cash equivalents	\$ 4,309,497	\$ 798,910
Accounts receivable from affiliates (Notes 3 & 11)	397,432	523,037
Accounts receivable, net of allowances (Note 3)	3,354,120	4,351,625
Unbilled revenue	1,614,948	1,605,375
Loan to affiliates (Note 11)	260,358	285,960
Income tax assets	27,305	87,843
Other current assets (Note 4)	187,549	294,595
Total current assets (A)	\$ 10,151,209	\$ 7,947,345
<i>Non-current assets:</i>		
Plant and equipment, net (Note 5)	2,269	9,669
Deposits	537	1,198
Total non-current assets (B)	\$ 2,806	\$ 10,867
Total assets (C)=(A)+(B)	\$ 10,154,015	\$ 7,958,212
 <u>Liabilities and Stockholders' equity</u>		
<i>Current liabilities:</i>		
Accounts payable	\$ 380,244	\$ 411,495
Accounts payable to affiliates (Note 11)	308,312	721,076
Income tax liabilities	6,378	10,206
Borrowings	2,469,200	-
Other current liabilities (Note 8)	1,227,314	1,453,393
Unearned revenue	177,550	2,079
Compensated absences	291,587	275,463
Total current liabilities (D)	\$ 4,860,585	\$ 2,873,712
<i>Non-current liabilities:</i>		
Other long term liabilities	187,023	-
Total non-current liabilities (E)	\$ 187,023	\$ -
Total liabilities (F)=(D)+(E)	\$ 5,047,608	\$ 2,873,712
 Commitments & Contingencies (Note 14)		
 Stockholders' equity		
Common stock, \$1 par value; Authorized 250,000 shares; issued and outstanding 19,000 shares	\$ 19,000	\$ 19,000
Additional paid-in capital	8,194,493	8,194,493
Retained earnings/(Accumulated deficit)	(3,111,936)	(3,110,382)
Accumulated other comprehensive income/(loss)	4,850	(18,611)
Total stockholders' equity attributable to Mindteck, Inc. (G)	\$ 5,106,407	\$ 5,084,500
Total liabilities and stockholders' equity (H) = (F) + (G)	\$ 10,154,015	\$ 7,958,212

See accompanying notes to consolidated financial statements.

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MINDTECK INC. AND ITS SUBSIDIARY
CONSOLIDATED STATEMENTS OF INCOME AND COMPREHENSIVE INCOME/(LOSS)
(In United States Dollars)

	Year ended March 31, 2021	Year ended March 31, 2020
Revenues	\$ 22,732,539	\$ 23,578,732
Operating expenses:		
Cost of revenues (excluding depreciation and amortization)	(19,190,995)	(19,892,878)
Selling, general and administrative expenses (excluding depreciation and amortization)	(3,530,130)	(4,483,028)
Impairment of goodwill (Note 6)	-	(2,219,224)
Depreciation and amortization (Note 5)	(8,565)	(10,516)
Total operating expenses	\$ (22,729,690)	\$ (26,605,646)
Operating income/(loss)	2,849	(3,026,914)
Other income	49,162	26,491
Interest (expense)/income, net	(536)	(2,331)
Income/(loss) before income taxes	51,475	(3,002,754)
Income tax benefit/(expense) (Note 9)	(53,029)	493,386
Net income/(loss)	\$ (1,554)	\$ (2,509,368)
Other comprehensive income/(loss):		
Foreign currency translation adjustment	23,461	(11,171)
Total comprehensive income/(loss) attributable to the Company	\$ 21,907	\$ (2,520,539)

See accompanying notes to consolidated financial statements.



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MINDTECK INC. AND ITS SUBSIDIARY
CONSOLIDATED STATEMENTS OF EQUITY
(In United States Dollars, except share data)

	Common Stock		Additional		Retained earnings/ (Accumulated deficit)	Accumulated		Total Stock holders' Equity
	Number of shares	Amount	Paid-in Capital			Other Comprehensive income/(loss)		
As at April 01, 2019	19,000	\$ 19,000	\$ 8,187,502		\$ (601,014)	\$ (7,440)		\$ 7,598,048
Stock compensation expense [Note 12]	-	-	6,991		-	-		6,991
Net income/(loss)	-	-	-		(2,509,368)	-		(2,509,368)
Other comprehensive income/(loss)	-	-	-		-	(11,171)		(11,171)
As at March 31, 2020	19,000	19,000	8,194,493		(3,110,382)	(18,611)		5,084,500
Stock compensation expense [Note 12]	-	-	-		-	-		-
Net income/(loss)	-	-	-		(1,554)	-		(1,554)
Other comprehensive income/(loss)	-	-	-		-	23,461		23,461
As at March 31, 2021	19,000	\$ 19,000	\$ 8,194,493		\$ (3,111,936)	\$ 4,850		\$ 5,106,407

See accompanying notes to consolidated financial statements.



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MINDTECK INC. AND ITS SUBSIDIARY
CONSOLIDATED STATEMENTS OF CASH FLOWS
(In United States Dollars)

	Year ended March 31, 2021	Year ended March 31, 2020
Cash flows from operating activities:		
Net income/(loss)	\$ (1,554)	\$ (2,509,368)
<i>Adjustments to reconcile net income to net cash provided by operating activities:</i>		
Depreciation and amortization	8,565	10,516
Stock compensation expense	-	6,991
Impairment of goodwill	-	2,219,224
Allowance for doubtful accounts	(640)	15,427
Loss on sale of fixed assets	-	51
Deferred tax expenses/(credit)	-	(428,883)
<i>Changes in operating assets and liabilities</i>		
Accounts receivable and unbilled revenue	1,147,106	1,062,275
Other assets and deposits	110,229	(150,673)
Income taxes	55,632	(41,006)
Accounts payable	(464,527)	7,147
Other liabilities	144,039	41,503
Net cash provided by operating activities	\$ 998,851	\$ 233,204
Cash flows from investing activities:		
Expenditure on plant and equipment	(1,165)	(2,864)
Net cash used in investing activities	\$ (1,165)	\$ (2,864)
Cash flows from financing activities:		
Proceeds from recovery of loan	25,602	-
Proceeds from borrowings	2,469,200	-
Net cash provided by financing activities	\$ 2,494,802	\$ -
Effect of exchange rate changes on cash and cash equivalents	18,099	(7,904)
Net changes in cash and cash equivalents	\$ 3,510,587	\$ 222,436
Cash and cash equivalents at beginning of year	798,910	576,474
Cash and cash equivalents at end of year	\$ 4,309,497	\$ 798,910
Supplementary information:		
Cash paid for interest	\$ 1,028	\$ 2,831
Cash received for interest	\$ 492	\$ -
Income taxes paid	\$ 34,213	\$ 17,078

See accompanying notes to consolidated financial statements.



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MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

1. Organization and description of the business

Mindteck Inc. ("the Company"), is a software development and consulting company headquartered in Camp Hill, Pennsylvania. The Company was incorporated in November 14, 1995 and is a subsidiary of Mindteck (India) Limited ("MIL"). On January 10, 2018, Mindteck Canada, Inc. ("Mindteck Canada") was incorporated under the laws of Canada as a wholly owned subsidiary of the Company.

2. Summary of Significant Accounting Policies

(a) Basis of preparation of financial statements and principles of consolidation

The accompanying consolidated financial statements have been prepared, in accordance with recognition and measurement principles generally accepted in the United States, by management for its internal use only.

The accompanying financial statements have been prepared on a consolidated basis and reflect the financial statements of the Company and its subsidiary that are more than 50% owned or controlled. The consolidated financial statements of the Company, includes the accounts of its wholly owned subsidiary, Mindteck Canada. All intercompany transactions and balances are eliminated in consolidation.

The functional currency and reporting currency of the Company is the United States Dollar ("USD/\$").

(b) Use of estimates:

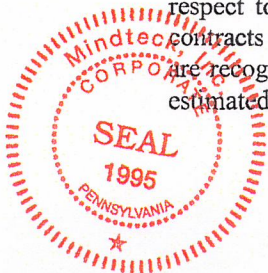
The preparation of these financial statements requires management to make estimates and assumptions. These estimates and assumptions affect the reported amounts of assets and liabilities, the disclosures of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Significant estimates and assumptions are used for, but not limited to, accounting for costs and efforts expected to be incurred to complete performance under software development arrangements, allowance for uncollectible accounts receivable, the useful lives of plant and equipment and intangible assets, income tax valuation allowances and reserve for uncertain tax positions. Although these estimates are based upon management's best knowledge of current events and actions, actual results could differ from those estimates. Management believes that the estimates used in the preparation of the consolidated financial statements are prudent and reasonable. Appropriate changes in estimates are made as management becomes aware of changes in circumstances surrounding the estimates. Changes in estimates are reflected in the financial statements in the period in which changes are made and, if material, their effects are disclosed in the notes to the financial statements.

(c) Revenue recognition:

Rendering of services:

The Company derives its revenues primarily from software development and IT-enabled service including technical consultancy services. Revenues are recognized when there is persuasive evidence of a contractual arrangement with customers, services have been rendered, the fee is fixed or determinable and collectability is reasonably assured. The Company has concluded that it has persuasive evidence of a contractual agreement when it enters into an agreement with its customers with terms and conditions which describe the services and the related payments are legally enforceable. Revenues are recognized net of value added tax and applicable discounts and includes reimbursements of out-of-pocket expenses, with corresponding cost for out-of-pocket expenses included in cost of revenues.

The services are performed under both time-and-material and fixed-price arrangements. Revenues with respect to time-and-material are recognized as the related services are performed. Time-and-material contracts typically bill at an agreed upon hourly or daily rate. Revenue related to fixed fee arrangements are recognized using the percentage completion method based on actual direct costs in relation to total estimated costs. Provisions for estimated losses, if any, on uncompleted contracts are recorded in the



MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

period in which such losses become probable based on the current contract estimates.

The Company grants volume discounts to certain customers, which are computed based on a pre-determined percentage of total revenues from those customers during a specified period, as per the terms of the contract. These discounts are earned only after the customer has provided a certain specified cumulative level of revenues in the specified period. The Company reports revenues net of discount offered to customers.

The Company recognizes cash discounts as a reduction of revenues.

Multiple contracts with a single counterparty are evaluated to determine whether such contracts should be accounted for as separate contracts or aggregated and accounted for as a single contract. The Company evaluates whether the services are interdependent or interrelated with respect to the services being performed. If contracts are considered separate, the related costs are identified, tracked and reported separately and the contracts are serviced by different project management teams and potentially performed at different locations.

Interest income:

Interest income is recognized using the time proportion method, based on the transactional interest rates.

Unbilled revenue:

Unbilled revenue represents revenue recognized in excess of amounts billed. These amounts are to be billed in subsequent periods as per the terms specified in the agreement.

Deferred revenue/ unearned revenue:

Deferred revenue represents billing in excess of revenue recognized and advance payments received from customers for which no services have been rendered. Billing done during the reporting period in excess of revenue recognized or billing done in advance is recorded as deferred revenue until the revenue recognition criteria is met.

Allowance for doubtful accounts:

Accounts receivables are reviewed periodically to determine the probability of loss. Accounts receivables are recorded at the invoiced amount and do not bear interest. The allowance for uncollectible accounts is determined using the combination of the specific identification method for balances deemed uncollectible, as well as judgments made by the Company based upon historical and expected collection experience.

(d) Cash and cash equivalents:

The Company considers all highly liquid investments with a remaining maturity at the date of purchase of three months or less and that are readily convertible to known amounts of cash to be cash equivalents. Cash and cash equivalents comprise cash and cash on demand deposit with banks.

(e) Fair value of financial instruments and concentration of credit risk:

The amounts reflected for cash and cash equivalents, accounts and unbilled receivables and accounts payable approximate their fair value due to their short maturities. Financial instruments that potentially subject the Company to concentration of credit risk consist primarily of cash and cash equivalents and accounts and unbilled receivables. The Company mitigates its risk with respect to cash and cash equivalents by maintaining its deposits with financial institutions.



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MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

The Company has a concentration of its revenue and receivables with specific customers. The accounts receivable, net of allowances, amounted to USD 3,751,552 and USD 4,874,662 as of March 31, 2021 and 2020 respectively. Revenues amounting to more than 10% of the total revenue of the Company accounted from two customers amounting to USD 7,762,400 in 2021 and from three customers amounting to USD 10,672,968 in 2020. The amounts due from these customers accounted for USD 1,501,099 of accounts receivable as of March 31, 2021 and USD 2,143,904 as of March 31, 2020, respectively.

Accounts receivable are recorded at the invoiced amount and do not bear interest. The carrying amount of the accounts receivable is reduced by an allowance for doubtful accounts that reflects management's best estimate of the amounts that will not be collected. Accounts receivable balances are charged off against the allowance after all means of collection have been exhausted and the potential for recovery is considered remote.

(f) Plant and equipment, net:

Plant and equipment are stated at cost less accumulated depreciation. The costs of additions are capitalized, while repairs and maintenance are charged to expense as incurred. Upon disposal, assets and related accumulated depreciation are removed from the Company's accounts and the resulting gains and losses are reflected in current earnings in the consolidated statements of income. The Company depreciates plant and equipment over the estimated useful life using the straight-line method. The estimated useful lives of assets are as follows:

Asset classification	Useful life
Computer and office equipment	3 years
Software	3 years
Furniture and fixtures	5 years
Leasehold improvements	7 years

Assets under leasehold improvements are amortized over their estimated useful life or the lease term, whichever is lower.

Property and equipment are reviewed for impairment if indicators of impairment arise. There were no impairment charges related to property and equipment recognized during the years ended March 31, 2021 and 2020.

(g) Goodwill:

The Company accounts for its business combinations under the acquisition method of accounting. Goodwill represents the cost of the acquired businesses in excess of the fair value assigned to identifiable net assets acquired.

The Company does not amortize goodwill but instead tests goodwill for impairment at least annually, using a two-step impairment process. The fair value of the reporting unit is first compared to its carrying value (including goodwill). The fair value of the reporting units is determined using a combination of valuation techniques including discounted cash flow analysis and market value approaches based on multiples. If the fair value of the reporting unit exceeds the carrying value of the net assets assigned to that unit, goodwill is not impaired. If the carrying value of the net assets assigned to the reporting unit exceeds the fair value of the reporting unit, then the implied fair value of the reporting unit's goodwill is compared with the carrying value of the reporting unit's goodwill. The implied fair value of goodwill is determined in the same manner as the amount of goodwill recognized in a business combination. If the carrying value of a reporting unit's goodwill exceeds its implied fair value, then an impairment loss equal to the difference is recorded.



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MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

h) Employee benefits:

Defined contribution plan

Eligible employees of the Company in the United States may elect to participate in an employee retirement savings plan maintained pursuant to Section 401(k) of the United States Internal Revenue Code of 1986, as amended, (the "401(k) Plan"). The 401(k) Plan allows for employees to defer a portion of their annual earnings on a pre-tax basis through voluntary contributions to the 401(k) Plan. The Company may make discretionary matching contributions under the 401(k) Plan, but the Company is not currently making any such matching contributions.

(i) Income taxes:

Income taxes are accounted for under the asset and liability method. The current charge for income taxes is calculated in accordance with the relevant tax regulations applicable to the Company. Deferred tax assets and liabilities are recognized for the future tax consequences attributable to temporary differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax bases and operating loss carry-forwards. Deferred tax assets and liabilities are measured using enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. The effect on deferred tax assets and liabilities of a change in tax rates is recognized in income in the period that includes the enactment date. The measurement of deferred tax assets is reduced, if necessary, by a valuation allowance for any tax benefits of which future realization is not more likely than not. Changes in valuation allowance from period to period are reflected in the statement of income in the period of change. Tax benefits of deduction earned on exercise of stock options in excess of compensation charged to earnings are credited to additional paid in capital.

The Company recognizes the effect of income tax positions only if those positions are more likely than not of being sustained. Recognized income tax positions are measured at the largest amount that is greater than 50% likely of being realized. Changes in recognition or measurement are reflected in the period in which the change in judgment occurs.

The Company recognizes interest and penalties related to unrecognized tax benefits in income tax expense.

ASC 740 clarifies the accounting for uncertainty in income taxes recognized in an enterprise's financial statements and prescribes a recognition threshold and measurement attribute for the financial statements recognition and measurement of a tax position taken or expected to be taken in a tax return. The Company is required to recognize in the financial statements the impact of a tax position, if that position is more likely than not of being sustained on audit, based on the technical merits of the position. For the year ended March 31, 2020, the Board of Directors identified no material uncertain income tax positions relevant to the jurisdictions where the Company is required to file income tax returns.

Pursuant to adoption of ASU 2015-17 "Balance sheet Classification of Deferred Taxes", the Company has classified all deferred tax assets and liabilities as non-current on the balance sheet prospectively.

(j) Compensated absences:

The Company's liability towards compensated absences is accounted for on the basis of unavailed encashable leave balances at applicable encashable rates. The Company presents the entire compensated absences balance as a current liability in the balance sheet since it does not have an unconditional right to defer its settlement for twelve months after the reporting date.

(k) Foreign currency translation:

Foreign currency denominated assets and liabilities are translated into the functional currency at exchange rates in effect at the balance sheet date. The gains or losses resulting from such translations are included in earnings. Transaction gains or losses realized upon settlement of foreign currency transactions are included in determining net income for the period in which the transaction is settled.



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MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

Revenue, expense and cash-flow items denominated in foreign currencies are translated into the functional currency using the exchange rate in effect on the date of the transaction.

The functional currency of Mindteck Inc. is U.S. dollars. The functional currency of Mindteck Canada Inc. is determined as Canadian dollars (CAD) based on the evaluation of the individual and collective economic factors as discussed in ASC Topic 830-10. The assets and liabilities of Mindteck Canada Inc. are translated into U.S. dollars (\$) exchange rates in effect at the balance sheet date, and revenues and expenses are translated at average rates of exchange in effect during the period. The resulting cumulative translation adjustment is recorded in accumulated other comprehensive income/(loss) in stockholders' equity.

(l) Employee stock options:

Certain employees of the Company have been granted stock options under MIL's Mindteck Employee Stock Option Scheme, 2005, and Employee Stock Option Scheme 2008, which gives such employees the right to purchase equity shares of MIL on exercise.

The Company accounts for its employee stock-based compensation awards measuring and recognizing compensation expense for all stocks-based payments awards based on the grant date fair value of those awards. For awards with graded vesting that are linked to service condition, the Company recognizes compensation expense on a straight-line basis over the requisite service period of the entire award.

(m) Commitments and contingencies

Liabilities for loss contingencies arising from claims, assessments, litigations, fine and penalties and other sources are recorded when it is probable that a liability has been incurred and the amount of the assessment and/or remediation can be reasonably estimated. Legal costs incurred in connection with the same are expensed as incurred.

(n) Leases

(i) Operating leases

Leases where the lessor effectively retains substantially all the risks and benefits of ownership of the leased asset are classified as operating leases. Payments for assets acquired under an operating lease are recognized in the consolidated statement of income over the term of the lease on a straight-line basis.

(o) Cost of revenues and selling, general and administrative expenses

Cost of revenue primarily includes the compensation cost of technical staff, travel costs, sub-contractor costs, data and portal expenses, and other expenses that are related to the generation of revenue.

Selling, general and administrative expenses generally include the compensation cost of sales, management and advisory personnel, travel costs, training cost, advertising, business promotion, rent, repairs, electricity, communication expenses and other general expenses not attributable to cost of revenue.

Advertising costs are expensed as incurred and are included in selling, general and administrative expenses.

(p) Subsequent events

The Company evaluates events and transactions that occur subsequent to the balance sheet date but prior to the issuance date of the consolidated financial statements to determine the necessity for recognition and/or reporting of any of these events and transactions in the consolidated financial statements.

(q) Recently issued accounting pronouncements

In February 2016, the FASB issued ASU No. 2016-02, *Leases*. The ASU requires lessees to recognize the assets and liabilities on their balance sheet for the rights and obligations created by most leases and continue to recognize expenses on their income statement over the lease term. It will also require disclosures designed to give financial statement users information on the amount, timing, and uncertainty



MINDTECK INC. AND ITS SUBSIDIARY
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS
(In United States Dollars, except where otherwise stated)

of cash flows arising from leases. In July 2018, the FASB issued ASU 2018-11, *Leases (Topic 842) Targeted Improvements*, which allows for the adoption of ASU 2016-02 to be applied at the beginning of the year of adoption, as opposed to at the beginning of the earliest year presented in the financial statements. The guidance was effective for annual reporting periods beginning after December 15, 2020, which was deferred to annual reporting periods beginning after December 15, 2021, by ASU No. 2020-05 issued in June 2020. Early adoption is permitted for all entities. The Company is currently evaluating the impact of ASU 2016-02 on its consolidated financial statements and disclosures and will adopt the transitional provisions allowed under ASU 2018-11.

In June 2016, FASB issued ASU 2016-13, *Financial Instruments-Credit Losses*. The amendments in this update require a financial asset (or a group of financial assets) measured at amortized cost basis to be presented at the net amount expected to be collected. The allowance for credit losses is a valuation account that is deducted from the amortized cost basis of the financial assets to present the net carrying value at the amount expected to be collected on the financial asset. The income statement reflects the measurement of credit losses for newly recognized financial assets, as well as the expected increases or decreases of expected credit losses that have taken place during the period. The measurement of expected credit losses is based on relevant information about past events, including historical experience, current conditions, and reasonable and supportable forecasts that affect the collectability of the reported amount. An entity must use judgment in determining the relevant information and estimation methods that are appropriate in its circumstances.

The update was effective for fiscal years beginning after December 15, 2020, which was deferred to fiscal years beginning after December 15, 2022 by ASU No. 2019-10 issued in November 2019. The Company is currently evaluating the impact of this ASU on its consolidated financial statements and disclosures.

In December 2019, the FASB issued ASU 2019-12, *Simplifying the Accounting for Income Taxes*. This ASU simplifies various aspects of income tax accounting by removing certain exceptions to the general principle of the guidance and clarifies and amends existing guidance to improve consistency in application. The update is effective for fiscal years, and interim periods within those fiscal years, beginning after December 15, 2022. Early adoption is permitted for periods for which financial statements have not yet been made available for issuance. The Company is currently evaluating the impact of this amendment on its consolidated financial statements and disclosures.

3. Accounts receivable:

Accounts receivable consists of:

	As of March 31,	
	2021	2020
Accounts receivable from affiliates (Refer Note 10)	397,432	523,037
Accounts receivable, net of allowances		
Accounts receivable, gross	3,398,208	4,396,353
Less: Allowance for doubtful accounts	(44,088)	(44,728)
Accounts receivable, net of allowances	3,354,120	4,351,625

The Company maintains an allowance for doubtful accounts based on financial condition of the customer and ageing of the accounts receivable. The activity in the allowance for doubtful debts for account receivable is as follows:



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	For the year ended March 31,	
	2021	2020
Allowance at the beginning of the year	44,728	29,301
Write-off during the year	-	(29,301)
Provision reversed due to collection	(640)	-
Provision during the year	-	44,728
Allowance at the end of the year	44,088	44,728

4. Other current assets:

Other current assets consist of the following:

	As of March 31,	
	2021	2020
Prepaid expenses	160,951	185,865
Advances to suppliers and others	5,503	29,911
Deposits	21,095	78,819
Other current assets	187,549	294,595

5. Plant and equipment, net:

Plant and equipment, net consist of the following:

	As of March 31,	
	2021	2020
Computer equipment	87,506	174,726
Furniture and fixtures & office equipment	201,428	207,225
Leasehold improvements	-	32,596
Plant and equipment, gross	288,934	414,547
Less: Accumulated depreciation	(286,665)	(404,878)
Plant and equipment, net	2,269	9,669

Depreciation expense on plant and equipment amounted to USD 8,565 and USD 10,516 for the years ended March 31, 2021 and 2020 respectively.

6. Goodwill:

Goodwill of USD 2,219,224 represented the excess of the aggregate purchase price over the fair value of net assets acquired in connection with a business combination that was consummated during the year ended March 31, 2006.

Goodwill was tested for impairment at least annually. Testing the fair value of the Company's reporting unit requires the use of several assumptions like cash flow projections (based on financial budgets approved by the management), revenue/earning multiples. During the year ended March 31, 2020, as a part of impairment evaluation and considering the COVID-19 pandemic, management had reassessed the assumptions in respect of valuation of goodwill. The fair value of the Company's reporting unit was determined on the basis of an independent valuation using the discounted cash flow approach. The goodwill was fully impaired as of March 31, 2020. Accordingly, consequential impact on the deferred tax liability (reversal) was also considered.



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7. Borrowings from bank:

a) Line of credit

On August 24, 2017, the Company entered into a revolving line of credit with PNC Bank that permitted the Company to draw up to USD 2,000,000 through 2020, bearing interest at LIBOR plus 2%. The Company must also pay an unused fee of 0.10%. The line of credit expired on September 30, 2020, and was not renewed. At March 31, 2020, the Company had USD 2,000,000 available to be drawn down under this facility. Borrowings were collateralized by a first lien on accounts receivable and a pledge on all business assets of the Company.

The interest and unused fee on the above facilities amounted to USD 1,017 and USD 2,033 for the years ended March 31, 2021 and 2020 respectively have been charged to interest expense.

b) Paycheck protection program

On April 13, 2020 the Company received \$2,469,200 pursuant to Coronavirus Aid, Relief and Economic Security (CARES) Act's Paycheck Protection Program. The Company applied to the Bank for forgiveness of the amount based on certain costs incurred during the 8 week period beginning on the date of first reimbursement of the Program. Subsequently, on June 10, 2021, the entire amount was forgiven in principal and interest in favor of the Company. Accordingly, the amount of USD 2,469,200 will be recorded as 'Other income' in the year ended March 31, 2022.

8. Other current liabilities:

Other current liabilities consist of:

	As of March 31,	
	2021	2020
Salary and wages payable	378,793	530,311
Accrued expenses	633,097	832,599
Statutory liabilities	215,423	90,483
Other current liabilities	1,227,314	1,453,393

9. Income taxes:

The income tax expense during the years ended March 31, 2021 and 2020 consist of the following:

	For the year ended March 31,	
	2021	2020
Current tax expense/(benefit):		
Federal	34,402	(79,208)
State	18,627	14,705
	53,029	(64,503)
Deferred tax expense/(benefit):		
Federal	-	(309,888)
State	-	(118,995)
	-	(428,883)
Income tax expense/(benefit)		(493,386)



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Income tax expense for the year ended March 31, 2021, relates to state and federal income taxes. Income tax expense attributable to income from continuing operations differed from the amounts computed by applying the US federal statutory income tax rate of 21% primarily due to changes in valuation allowance, permanent differences, and state income taxes.

Deferred income taxes reflect the net effects of temporary differences between the carrying amount of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. Significant components of net deferred tax assets and liabilities as of March 31, 2021 and 2020 are as follows:

	As of March 31,	
	2021	2020
Deferred tax assets:		
Bad debt reserve	11,667	11,866
Carry forward business losses	1,025,890	1,059,975
Intangible assets	-	61,873
Accrued expenses and liabilities	199,254	98,694
Plant and equipment	5,181	5,182
Others	-	618
Total gross deferred tax asset	1,241,992	1,238,208
Less: Valuation allowance	(1,241,992)	(1,238,208)
Total deferred tax assets	-	-

Management establishes a valuation allowance on deferred tax assets when it is more likely than not that the benefit of such deferred tax assets will not be realized. The ultimate realization of deferred tax assets is dependent upon management's assessment of the Company's ability to generate taxable income during the periods in which the temporary differences become deductible. Based on the historical level of taxable income and considering the uncertain economic environment and the COVID-19 pandemic, projections of future taxable income over the periods in which the deferred tax assets are deductible, management believes that it is more likely than not the Company will not realize the benefits of these deductible differences net of the existing valuation allowances at March 31, 2021. Management's assessment in the near term is subject to change if estimates of future taxable income are reduced.

The Company has recorded a valuation allowance of USD 1,241,992 and USD 1,238,208 as of March 31, 2021 and March 31, 2020 respectively representing an increase in valuation allowance of USD 3,784 on deferred tax assets including deferred tax assets in relation to the net operating loss carry forward.

As of March 31, 2021, the Company has federal net operating loss carry forwards of USD 4,232,515 and state net operating loss carry forwards of USD 2,509,318 available to offset future taxable income, which expire in various years beginning in 2032.

The Company files federal and various state tax returns. As a result of the net operating losses in prior years, the federal statute of limitations will remain open for a period following any utilization of the net operating loss carry forwards, and as such, these periods remain subject to examination for tax years after 2018. With few exceptions, the state filings are no longer subject to examination by the tax authorities for tax years before 2017. The Company is currently not under examination by the Internal Revenue Service or any other taxing authority.



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10. Revenue from contracts with customers

Disaggregation of revenue

Revenue by type of contract

	For the year ended March 31,	
	2021	2020
Time-and-material	\$ 21,515,779	\$ 23,086,796
Fixed price	1,216,760	4,91,936
Total	\$ 22,732,539	\$ 23,578,732

Timing of revenue recognition

	For the year ended March 31,	
	2021	2020
Services transferred at a point in time	\$ -	\$ -
Services transferred over time	22,732,539	23,578,732
Total	\$ 22,732,539	\$ 23,578,732

The performance obligations under revenue contracts included maintenance and support services or; delivery of specific milestones/deliverables. These performance obligation for revenue recognized during the year were satisfied over time since the customers simultaneously received and consumed the benefits as the Company performed the services.

Contract balances

Accounts receivable, net

The customers are billed on a regularly scheduled basis, such as bi-weekly or monthly. The payment terms are generally 30 to 90 days.

Unbilled revenue

Unbilled revenue represents revenue recognized in excess of amounts billed. These amounts are to be billed in subsequent periods as per the terms specified in the agreement.

Unearned revenue

Unearned revenue consists of billings in advance of revenue recognition from services and is recognized as revenue when transfer of control to customers has occurred. Unearned revenue relates to contract with billing milestones which are different from performance under the contract and advance billing for maintenance and support contracts for which revenue is recognized ratably over time.



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11. Related party transactions

The Company has also entered into the following significant transactions with related parties:

	For the year ended March 31,	
	2021	2020
Income from IT-enabled services:		
a) Mindteck (India) Limited – holding company	296,374	112,194
Reimbursement of expenses from:		
a) Mindteck (India) Limited – holding company	34,760	157,946
b) Mindteck UK Limited - fellow subsidiary	12,236	30,160
c) Mindteck Singapore Pte Ltd– fellow subsidiary	46	12
d) Mindteck Germany GmbH– fellow subsidiary	-	-
e) Mindteck Malaysia – fellow subsidiary	-	-
f) Mindteck Middle East Limited SPC - fellow subsidiary	-	74,524
Subcontracting costs:		
a) Mindteck (India) Limited – holding company	6,410,130	5,377,473
b) Mindteck Singapore Pte Ltd– fellow subsidiary	55,892	72,730
Reimbursement of expenses to:		
a) Mindteck (India) Limited – holding company	175,124	288,907
b) Mindteck Singapore Pte Ltd– fellow subsidiary	34,094	23,217

The balances receivable from and payable to related parties as at March 31, 2021 and 2020 are as follows:

	As of March 31,	
	2021	2020
Accounts receivable:		
Mindteck (India) Limited - holding company	274,131	411,952
Mindteck Germany GmbH - fellow subsidiary	111,065	111,065
Mindteck Malaysia – fellow subsidiary	-	-
Mindteck Middle East Limited SPC - fellow subsidiary	-	-
Mindteck Singapore Pte Ltd - fellow subsidiary	-	-
Mindteck UK Limited - fellow subsidiary	12,236	20
Total	397,432	523,037

	As of March 31,	
	2021	2020
Accounts payables:		
Mindteck (India) Limited – holding company	273,613	625,129
Mindteck Singapore Pte Ltd– fellow subsidiary	34,699	95,947
Total	308,312	721,076



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	As of March 31,	
	2021	2020
Loans to affiliates:		
Mindteck Germany GmbH – fellow subsidiary	100,000	100,000
Mindteck Middle East Limited SPC – fellow subsidiary	160,358	185,960
Total	260,358	285,960

Loan to Mindteck Middle East Limited SPC is interest-free and repayable on demand. Loan to Mindteck Germany GmbH carries interest of 3.5% with an option to pay anytime on or before June 15, 2020. Effective June 22, 2020, this loan along with interest was further waived until June 21, 2021. Effective June 22, 2021, this loan along with interest was further waived until June 21, 2022. The interest income relating to the loan to Mindteck Germany GmbH as at March 31, 2021 and March 31, 2020 amounts to USD Nil and USD Nil respectively.

12. Stock option plan

Mindteck Employees Stock Option Scheme 2005

Mindteck (India) Limited introduced the “Mindteck Employees Stock Option Scheme 2005” (“the Option Scheme 2005”) for the benefit of the employees, as approved by the Board of Directors of MIL in its meeting held on July 4, 2005 and the shareholders meeting held on July 29, 2005. The Option Scheme 2005 provides for the creation and issue of 500,000 options that would eventually convert into equity shares of INR 10 each (approximately USD 0.14 each) in the hands of the employees. The options are to be granted to the eligible employees at the discretion of and at the exercise price determined by the Nomination & Remuneration Committee of the Board of Directors of MIL. The options vest annually in a graded manner over a three-year period and are exercisable during a maximum period of five years from the date of vesting.

Mindteck (India) Limited has granted Nil options and Nil options during the year ended March 31, 2021 and 2020, respectively.

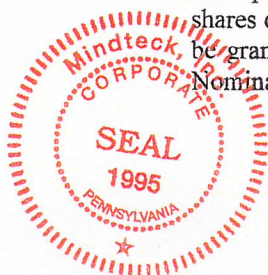
Stock option activity under the Option Scheme 2005 is as follows:

Particulars	Shares arising out of options		Weighted average exercise price (\$)	
	2021	2020	2021	2020
Outstanding at the beginning of the year	11,800	14,100	0.45	0.43
Granted during the year	-	-	-	-
Forfeited and lapsed during the year	(6,200)	(2,300)	0.37	0.27
Exercised during the year	-	-	-	-
Outstanding at the end of the year	5,600	11,800	0.50	0.45
Exercisable at the end of the year	5,600	11,800	0.50	0.45

Mindteck Employees Stock Option Scheme 2008

Mindteck (India) Limited introduced the ‘Mindteck Employees Stock Option Scheme 2008’ (‘the Option Scheme 2008’) for the benefit of the employees, as approved by the Board of Directors of MIL in its meeting held on May 27, 2008 and the shareholders meeting held on July 30, 2008. The Option Scheme 2008 provides for the creation and issue of 1,200,000 options that would eventually convert into equity shares of INR 10 each (approximately USD 0.14 each) in the hands of the employees. The options are to be granted to the eligible employees at the discretion of and at the exercise price determined by the Nomination & Remuneration Committee of the Board of Directors. The options will vest after the expiry

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of a period of twelve months from the date on which the options are granted. The vesting term and the period over which the options are exercisable is to be decided by the Nomination & Remuneration Committee of the Board of Directors.

The Company has granted Nil and Nil options during the year ended March 31, 2021 and 2020, respectively.

Stock option activity under the Option Scheme 2008 is as follows:

Particulars	Shares arising out of options		Weighted average exercise price (\$)	
	2021	2020	2021	2020
Outstanding at the beginning of the year	120,000	120,000	1.17	1.19
Granted during the year	-	-	-	-
Forfeited and lapsed during the year	(6,667)	-	(0.59)	-
Exercised during the year	-	-	-	-
Outstanding at the end of the year	113,333	120,000	1.15	1.17
Exercisable at the end of the year	113,333	120,000	1.15	1.17

The following table summarizes key information relating to the Option Scheme 2005 & Option Scheme 2008:

Particulars	Weighted average remaining contractual life		Range of exercise price	
	2021	2020	2021	2020
Option Scheme 2005	0.66	0.28	\$0.50-\$0.50	\$0.27-\$0.52
Option Scheme 2008	1.61	2.36	\$0.59-\$1.22	\$0.61-\$1.28

During the year ended March 31, 2021 and 2020, the Company recognized approximately USD Nil and USD Nil as stock-based compensation expense respectively. For awards with graded vesting that are linked to service condition, the Company recognizes compensation expense on a straight-line basis over the requisite service period of the entire award.

The per share weighted average fair value of stock options granted during the year ended March 31, 2021 and 2020 were USD Nil and USD Nil, respectively. The fair value of each stock option grant is estimated on the date of grant using the Black-Scholes option pricing model. The Company has not granted any options during the year ended March 31, 2021.

The unamortized stock compensation cost relating to unvested options as at March 31, 2021 and March 31, 2020 amounts to USD Nil and USD Nil respectively. The total ESOP costs was USD Nil and USD 21,442 during the years ended March 31, 2021 and 2020.



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13. Leases

Operating leases

The Company is obligated under non-cancelable operating lease for office and residential space and equipments that are renewable on a periodic basis at the option of both the lessor and the lessee.

Future minimum lease payments under non-cancelable leases are as follows:

Year ending March 31, 2022	14,400
Total	14,440

Total rental expenditure under the operating lease, cancelable and non-cancelable was USD 113,529 and USD 172,646 for the years ended March 31, 2021 and 2020 respectively.

On October 07, 2019, the Company became a sublandlord with respect to one office lease. Under this sublease agreement, USD 45,839 and USD 21,443 was recorded as rental income for the years ended March 31, 2021 and 2020 respectively.

14. Commitments and contingencies

Capital commitments

There were no capital commitments as of March 31, 2021 and 2020.

Contingencies and lawsuits

The Company is not involved in lawsuits, claims, investigations and proceedings, including patent and commercial matters, which arise in the ordinary course of business. The Company believes that there are no such pending matters that are expected to have any material adverse effect on its financial statements.

15. Stockholders' equity and dividend:

The Company presently has one class of stock – common stock. For all matters submitted to vote in the stockholders' meeting, every holder of common stock as reflected in the records of the Company on the date of the stockholders' meeting shall have one vote in respect of each share held. In the event dividend is declared, it is recognized upon approval by the Board of Directors.

16. Impact due to COVID-19 pandemic:

The Company has considered internal and certain external sources of information including economic forecasts, budgets required to meet performance obligations and likely delays on contractual commitments, upto the date of approval of these consolidated financial statements, in determining the possible impact from the COVID-19 pandemic. The Company has used the principles of prudence in applying judgements, estimates and assumptions and based on the current estimates, the Company expects to fully recover the carrying amount of its assets. The impact of the global health pandemic may be different from that estimated as at the date of approval of these consolidated financial statements and the Company will continue to closely monitor any material changes to its assessment of economic impact of COVID-19 pandemic.

17. Subsequent events

The Company performs an evaluation of events that occur after the balance sheet date but before the financial statements are issued or available to be issued, for potential recognition or disclosure of such events in its financial statements.

In April 2020, the Company received USD 2,469,200 under the Coronavirus Aid, Relief and Economic Security Act's Paycheck Protection Program. A note was signed with PNC Bank which is guaranteed by the US Small Business Administration. The Company applied for forgiveness in January 2021 in



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accordance with the requirements of the Program and has received full forgiveness of principal and interest on June 10, 2021. Accordingly, the amount of USD 2,469,200 will be recorded as 'Other income' in the year ended March 31, 2022.

The Company evaluated all events or transactions that occurred between March 31, 2021 and July 30, 2021 the date the Company issued their financial statements and determined that no events or transactions which would require adjustments in the Company's financial statements except as disclosed above.

